2. Environmental information

2.1 EU Taxonomy

2.1.1 Targets

The EU Taxonomy classification system plays an important role in driving the sustainable transformation throughout the European Union by providing a unified framework that defines environmentally sustainable economic activities. By strategically aligning the Siemens w/o SHS portfolio with the EU Taxonomy and committing to increasing the EU Taxonomy revenue alignment rate over time, Siemens w/o SHS provides standardized and transparent reporting on sustainable revenue that meets high environmental and social criteria across sites, products, and value chains. The portfolio elements of Siemens w/o SHS that generate EU Taxonomy-aligned revenue primarily contribute to two key environmental objectives established by the EU, Climate Change Mitigation (CCM) and Transition to a Circular Economy (CE).

In fiscal 2025, we increased our revenue alignment rate from 45.6% to 52.0% and have achieved our annual target.

(in %)	Scope	Baseline year	Baseline value	Target year[1]	Target value	Fiscal year 2025
Increase our EU Taxonomy revenue alignment rate	Siemens w/o SHS	2024	45.6%	2030	> 45.6%	52.0%

[1] Annual target until fiscal 2030

Methodology: The EU Taxonomy revenue alignment rate is the ratio of Taxonomy-aligned revenue to Taxonomy-eligible revenue excluding Siemens Healthineers. For further information on the general EU Taxonomy assessment approach, please refer to the following chapters. For further information regarding target setting and monitoring of the Siemens sustainability target frameworks see ↗ 1.1.

2.1.2 Siemens results

The EU Taxonomy results for Siemens were determined based on Commission Delegated Regulation (EU) 2021/2178 and the International Financial Reporting Standards applicable for the Consolidated Financial Statements. In fiscal 2025, our Taxonomy-aligned reported results for revenue, capital expenditures (CapEx) and operating expenditures (OpEx) increased for all three figures compared to the previous year. The increase in Taxonomy alignment for revenue is driven by targeted measures related to enhanced transparency and management of SoCs, including additional data availability from suppliers as well as substitution checks. The substantial increase in Taxonomy-aligned CapEx is primarily attributable to the recent acquisition of Altair and related one-time impact on the baseline for the EU-Taxonomy CapEx figure.

2.1.2.1 EU Taxonomy results for the reporting year

	Taxonomy-eligible Fiscal year		Taxonomy-aligned Fiscal year	
	2025	2024	2025	2024
EU Taxonomy Revenue	**69.2%**	68.1%	**29.3%**	25.4%
EU Taxonomy CapEx	**67.9%**	72.2%	**39.6%**	18.2%
EU Taxonomy OpEx	**73.9%**	74.0%	**37.6%**	32.3%

For the full tables on Taxonomy-eligible and -aligned economic activities and their associated revenue, CapEx, and OpEx, see ↗ 5.2.

EU Taxonomy Revenue

The revenue figure shows the ratio of revenue from Taxonomy-eligible and/or -aligned economic activities to the total revenue in the Consolidated Statements of Income. Revenue results primarily from contracts with customers, and to a lesser extent also from leasing activities (for further details see Note 29 to the Consolidated Financial Statements).

Based on a comprehensive assessment of the Siemens business portfolio, Taxonomy-eligible revenue accounted for 69.2% of total revenue, and Taxonomy-aligned revenue for 29.3%, translating to €55 billion and thereof €23 billion, respectively.

Taxonomy-eligible means that 69.2% of Siemens' business potentially qualifies as environmentally sustainable as defined by the EU Taxonomy regulation. The Taxonomy-eligible business is primarily associated with the EU's environmental objectives CCM and CE. Siemens' business activities outside of the scope of EU Taxonomy are mainly within Siemens Healthineers, partly because the Healthcare sector is only partially covered by the EU Taxonomy. Taxonomy-aligned implies that 29.3% of our business activities are already aligned with the high environmental standards of the EU Taxonomy framework and contribute substantially to CCM or CE.

Taxonomy-aligned economic activities were primarily driven by the following activities: (i) Manufacture of low-carbon technologies for transport (CCM 3.3), (ii) Rail transportation infrastructure (CCM 6.14), both associated with the business portfolio of Mobility, and (iii) Provision of IT/OT data-driven solutions (CE 4.1) related to Digital Industries. Furthermore, (iv) Installation, maintenance and repair of instruments and devices for measuring, regulation and controlling energy performance of buildings (CCM 7.5) as part of our Smart Infrastructure business contributed to alignment in revenue in the reporting year.

A major share of eligible, non-aligned revenue is tied to the economic activities (i) Manufacture of electrical and electronic equipment (CE 1.2), and (ii) Manufacture, installation, and servicing of high, medium and low voltage electrical equipment for electrical transmission and distribution that result in or enable a substantial contribution to climate change mitigation (CCM 3.20).

The difference between alignment and eligibility continues to result mainly from criteria related to SoCs, which go beyond existing national and EU regulations. On the one hand, the criteria for substantial contribution for the activity Manufacture of electrical and electronic equipment (CE 1.2) require proactive substitution for many of these substances, which largely depends on the availability of (economic) alternatives as well as lead times in product life cycles to be feasible. On the other hand, the Do No Significant Harm (DNSH) criteria related to the use and presence of substances (part of Appendix C, pollution prevention and control) require transparency regarding the use of SoCs, especially in non-European countries, which is not yet fully available, and additional documentation related to the proactive substitution of substances or justifications for their continued use. For more information on how Siemens generally manages SoCs, see ↗ 2.3.

EU Taxonomy CapEx

The CapEx figure shows the ratio of CapEx from Taxonomy-eligible and/or aligned economic activities to total CapEx, reflecting additions (including those from business combinations) to other intangible assets and property, plant and equipment (in accordance with Note 13 to the Consolidated Financial Statements). In the reporting year, 67.9% (€5.5 billion) of Siemens' CapEx was Taxonomy-eligible, and 39.6% (€3.2 billion) was Taxonomy-aligned. Within the Taxonomy-aligned CapEx, the majority is related to additions to intangible assets related to acquisitions (€2.2 billion), while the remainder pertained to property, plant and equipment (€0.7 billion) and capitalized right-of-use assets (€0.2 billion).

The primary contributors for alignment in CapEx were the following activities: (i) Provision of IT/OT data-driven solutions (CE 4.1), (ii) Acquisition and ownership of buildings (CCM 7.7) related to Siemens' real estate portfolio, and (iii) Data-driven solutions for GHG emissions reductions (CCM 8.2). The Taxonomy-aligned CapEx included €304 million related to a CapEx plan for building projects to be finalized by fiscal 2029, with a planned total volume of €1.6 billion (capitalizable and non-capitalizable costs). These buildings are designed to minimize energy use and carbon emissions (CCM 7.7). The total volume of this CapEx plan increased by €0.1 billion compared to the prior fiscal year due to the addition of new building projects. When finalizing or starting building projects that are part of the CapEx plan, the planned total volume reported in the respective period is adjusted accordingly.

Siemens Real Estate has implemented measures to support the Taxonomy-alignment of CapEx related to Siemens' real estate portfolio. This includes, for example, the integration of EU Taxonomy assessments into standard investment and leasing processes enabling timely and informed decisions on meeting energy efficiency standards prior to making investment decisions.

Same as for alignment, Provision of IT/OT data-driven solutions (CE 4.1) represented the largest portion of overall CapEx eligibility followed by Acquisition and ownership of buildings (CCM 7.7). The difference between Taxonomy-eligible CapEx and Taxonomy-aligned CapEx for the latter economic activity stemmed from (i) limited availability of information on energy performance certificates for our new leases and (ii) energy certificates below the required threshold defined in the Substantial Contribution criteria for energy efficiency of buildings.

Furthermore, eligibility in CapEx benefited from the economic activities (i) Manufacture of electrical and electronic equipment (CE 1.2) and (ii) Manufacture, installation, and servicing of high, medium and low voltage electrical equipment for electrical transmission and distribution that result in or enable a substantial contribution to climate change mitigation (CCM 3.20). As outlined above under the revenue figure, alignment here was still negligible due to criteria related to SoCs.

EU Taxonomy OpEx

The OpEx figure shows the ratio of OpEx from Taxonomy-eligible and/or -aligned economic activities to total OpEx. The total OpEx comprises direct non-capitalized costs related to research and development, building renovation measures, short-term leases, maintenance and repairs, and any other direct expenditures relating to the day-to-day servicing of assets of property, plant, and equipment as defined in Annex I of the Commission Delegated Regulation (EU) 2021/2178. Within Siemens' OpEx, 73.9% (€5.7 billion) were Taxonomy-eligible and 37.6% (€2.9 billion) were Taxonomy-aligned in the reporting year. The Taxonomy-aligned OpEx mainly comprises research and development expenditures (€2.7 billion); the remainder relates to maintenance and repair costs (€0.1 billion) as well as building renovation measures and short-term leases (together €0.1 billion).

Taxonomy-aligned expenditures primarily related to processes and assets associated with economic activities that were also main alignment contributors to the revenue figure, with the largest share resulting from the activity Provision of IT/OT data-driven solutions supporting circular economy (CE 4.1). Taxonomy-aligned OpEx also included €10 million related to the above-mentioned CapEx plan.

Eligible, non-aligned OpEx consisted mainly of (i) Manufacture of electrical and electronic equipment (CE 1.2), and (ii) Manufacture, installation, and servicing of high, medium and low voltage electrical equipment for electrical transmission and distribution that result in or enable a substantial contribution to climate change mitigation (CCM 3.20).

As for revenue, the difference between Taxonomy-eligible OpEx and Taxonomy-aligned OpEx was mainly due to criteria related to SoCs, mentioned above under "revenue figure".

2.1.2.2 Key developments and actions

Siemens EU Taxonomy results are driven by a highly diversified portfolio and dedicated measures across the organization to increase Taxonomy-alignment.

Digital Industries: Digital Industries' automation and software offerings can mainly be associated with the economic activities Manufacture, installation, and servicing of high, medium and low voltage electrical equipment for electrical transmission and distribution resulting in or enabling a substantial contribution to climate change mitigation (CCM 3.20), Manufacturing of electrical and electronic equipment (CE 1.2) and Provision of data-driven solutions contributing to a circular economy (CE 4.1). The increase in Taxonomy-aligned revenue for Siemens is especially driven through increased transparency and management of SoCs at Digital Industries. Additionally, the major acquisitions closed during the reporting period contributed to Taxonomy-eligible and -aligned CapEx (mainly related to Provision of IT/OT data-driven solutions (CE 4.1)).

Smart Infrastructure: A substantial portion of the Smart Infrastructure portfolio is eligible under the objective climate change mitigation including the economic activities Energy efficient equipment for buildings and services for energy performance of buildings (CCM 7.5) and Manufacture, installation, and servicing of high, medium and low voltage electrical equipment for electrical transmission and distribution resulting in or enabling a substantial contribution to climate change mitigation (CCM 3.20). While activity CCM 7.5 also contributes to Taxonomy-alignment, the requirements on SoCs generally remain a significant factor in the effort to enhance Taxonomy-alignment.

Mobility: By providing rolling stock, rail infrastructure, rail services and software for passenger and freight transport, the Siemens Mobility portfolio is fully eligible, contributing to climate change mitigation through Manufacturing of low carbon technologies for transportation (CCM 3.3), and providing Infrastructure for rail transportation and Infrastructure enabling public transport (CCM 6.14, CCM 6.15). Mobility presents the highest Taxonomy-alignment rate amongst the Industrial Businesses based on its portfolio offerings and its implemented processes for meeting the high environmental criteria defined by the EU Taxonomy framework.

Siemens Healthineers: Siemens Healthineers reported comparable Taxonomy-eligibility in 2025, reflecting the unchanged regulatory situation compared to 2024. With Siemens Healthineers being a global provider of healthcare equipment, a portion of the business can be assigned to the environmental objective Transition to a Circular Economy and the related activity Manufacture of electrical and electronic equipment (CE 1.2).

Siemens Real Estate: The real estate investments of Siemens Real Estate substantially influence the results of our Taxonomy-aligned CapEx. For example, the integration of energy performance requirements into standard investment and leasing processes helps to make informed investment decisions and thereby supports increasing our CapEx alignment rate.

2.1.2.3 Determination of EU Taxonomy-eligible and -aligned figures

To calculate the Taxonomy-eligible and -aligned key figures, Siemens' business activities and associated revenue, CapEx and OpEx were mapped to applicable economic activities listed in the respective Taxonomy Climate and Environmental Delegated Acts. Where necessary, allocation keys based on the revenue share of Taxonomy-eligible and -aligned activities were used to calculate CapEx and OpEx. To avoid double counting in the calculation of the Taxonomy figures, it was ensured that revenue, CapEx and OpEx were allocated only to the environmental objective they substantially contribute to.

For the EU Taxonomy alignment evaluation, experts from the relevant businesses and organizational units, supported by our internal software solution, assessed and documented the substantial contribution criteria for all Taxonomy-eligible business activities. The assessment level was based on internal reporting hierarchy levels, such as business segment, product family, or project level, depending on the economic activity. For example, the assessment of activities substantially contributing to climate change mitigation included comparing our rail rolling stock portfolio (including bi-mode vehicles) to the zero direct CO_2 emissions criteria. As another example, for the activity Provision of IT/OT data-driven solutions contributing to a circular economy (CE 4.1), assessments were conducted at the product group level, considering the various categories under CE 4.1, including (a) remote monitoring and predictive maintenance systems; (b) tracking and tracing software and IT/OT systems; (d) design and engineering software; and (f) lifecycle performance management software. We compared and evaluated the respective product group against the specific Substantial Contribution criteria, for example (d) whether our design and engineering software includes features allowing to make informed decisions on the circularity and environmental performance of products already during the product design phase.

Accordingly, based on the specific regulatory requirements and in consultation with technical and/or local experts, the DNSH criteria were assessed on the product, site, project and/or supplier level. This included, for example, analyzing risks arising from climate change using climate risk and vulnerability assessments across various levels of the organization. An additional requirement for EU Taxonomy alignment is compliance with the Minimum Safeguards (MS) as outlined in Article 18 of the EU Taxonomy Regulation. The MS requirements were met. To assess and comply with the MS requirements, which cover human rights, anti-corruption and bribery, taxation and fair competition, Siemens has introduced a standardized, group-wide assessment of due diligence processes. Arisen issues are addressed using established grievance mechanisms and remediation measures. For companies and units that become part of the Siemens Group, this assessment process is also rolled out as part of the integration process.

2.2 Climate change and energy

2.2.1 Impacts, risks and opportunities

At Siemens, we recognize the urgency of climate action and consider it one of our key sustainability priorities to contribute to the objectives set out in the Paris Agreement, including the goal of limiting global warming to 1.5°C above pre-industrial levels. As a global technology company, we acknowledge that our activities along the value chain generate GHG emissions and contribute to energy consumption, especially during the use phase of our products by our customers and through the procurement of materials from our suppliers. At the same time, our portfolio enables customers to decarbonize operations, improve energy efficiency, and create sustainable, decarbonized industries and economies.

Our climate-related disclosures are aligned with the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD) through the information reported under ESRS 2, see ↗ 1.1 and ↗ 1.3, and ESRS E1.

Material matter	IROs	Type	Policies	Targets	Actions
Climate change mitigation	**Siemens portfolio** Siemens portfolio enables customers to achieve decarbonization outcomes and enhance energy and resource efficiency across industrial and mobility sectors, in energy grids, and buildings. Sustainable technology solutions drive market growth and revenue.	PI O	• Sustainability at Siemens policy • Environmental Protection Standard • PLM Process Standard	• Achieve >1,000 Mt cumulatively in Customer Avoided Emissions[1] • Increase the EU Taxonomy revenue alignment rate[1]	• Reducing Scope 3 downstream emissions via product energy efficiency, renewable energy integration and decarbonization solutions
	Greenhouse gas emissions GHG emissions through our processes in own operations and through procured raw materials, sold products and investments contribute to climate change.	NI	• Sustainability at Siemens policy • Policy on Scope 1 and 2 reduction program • EV100 policy • Resource Preservation policy statement • Code of Conduct for Suppliers	• SBTi: Achieve Net-Zero in Scope 1, 2 & 3 by fiscal 2050 • SBTi: Reduce Scope 1 &2 emissions by 90% by fiscal 2030 • SBTi: Reduce Scope 3 emissions by 30% by fiscal 2030 • Individual Siemens w/o SHS and Siemens Healthineers emission targets and commitments (Scope 1, 2 & 3), see ↗ 2.2.4 • Transition to 100% electricity from renewable sources • Achieve a 100% electrified fleet in accordance with market maturity	• Optimizing energy, emissions and costs across operations by fiscal 2030 through holistic building and production decarbonization • Electrifying our fleet by 2030 in accordance with market maturity under our EV100 Commitment • Pursuing Scope 3 upstream emissions reduction via supplier engagement, innovating and dematerializing product design and changing to lower carbon materials • Reducing Scope 3 downstream emissions via product energy efficiency, renewable energy integration and decarbonization solutions
	Missing sustainability performance targets Falling short of achieving our climate targets is a reputational, litigation, and business risk.	R			
	Changing regulatory requirements Changing regulatory requirements in the healthcare business may require portfolio and production adaptations and could lead to significant short-term investments, liabilities, penalties, fines, reputational damage, or loss of licenses and permits in case of non-compliance.	R			
Energy	**Own operation and supply chain energy usage** Own operation and tier-1 supply chain energy usage impact environmental performance through resource consumption and carbon emissions.	NI	• Policies on Environmental Conduct • EHS Principles and Directive • Environmental Protection Standard • Resource Preservation Policy Statement	• Improve overall energy efficiency by 10%[1]	• Optimizing energy, emissions and costs across operations by fiscal 2030 through holistic building and production decarbonization
	Changing regulatory requirements Changing regulatory energy requirements might require investments.	R			
	Renewable energy transition Renewable energy transition strengthens supply security and reduces operational costs including carbon compensation.	O			
Climate change adaptation	**Climate change adaptation solutions** Siemens portfolio enables customers worldwide to create resilient and sustainable infrastructure, assisting them to adapt to the effects of climate change. Climate change adaptation solutions could drive market expansion and revenue growth opportunities.	PI O	• PLM Process Standard		• Driving climate adaptation through integrated technological solutions, resilient infrastructure and adaptation measures
	Adjustments to business processes and site locations Climate-related impacts might affect operational costs through supply chain and business disruptions and might lead to adaptation costs for sites located in vulnerable regions.	R	• DNSH Recommended Practice		

PI Positive impact I **NI** Negative impact I **R** Risk I **O** Opportunity | [1] Siemens w/o SHS

Climate scenario analysis and process to identify climate-related impacts, risks and opportunities

To identify climate-related impacts, risks, and opportunities and assess our climate resilience, we conduct climate scenario analyses that inform our climate transition planning and strategy process. For the identification and assessment of actual and potential climate-related impacts we considered our GHG inventory and our product portfolio to evaluate impacts across our operations and value chain to understand the sources and magnitudes of our emissions and respective impacts. The qualitative impact assessment was conducted during workshops with internal experts from different functions and businesses, see ↗ 1.2. Currently, our Scope 1 emissions predominantly stem from natural gas and fuel consumption, as well as from fugitive gases. Additionally, Scope 2 emissions arise indirectly, mainly from the electricity procured for our operations. Moreover, activities in our value chain create emissions. For details on the material Scope 3 categories, see ↗ 2.2.6.

We use physical risk scenario analyses to identify and evaluate acute and chronic physical risks related to company assets. These risks are also considered in the risk management processes in our upstream and downstream value chain. Our transition risk scenario analysis is designed to identify and assess risks and opportunities resulting from regulatory changes, technological shifts or market developments that may affect our customer markets and portfolio strategy.

The following sections present the identification and management of physical and transition risks and opportunities separately for Siemens w/o SHS and Siemens Healthineers to transparently report on how these risks and opportunities are managed including a conclusion on the resilience of Siemens business model.

Physical climate risks

Physical risks stem from the increasing occurrence and intensity of extreme weather phenomena like hurricanes, wildfires, severe storms, and floods (acute risks), as well as long-term chronic changes like rising sea levels (chronic risks). Siemens has dedicated processes to identify and where relevant address resulting gross physical risks.

Siemens w/o SHS identified a gross physical risk for own operations, indicating that climate-related impacts may increase operational costs due to business disruptions and may necessitate site-specific adaptation measures in vulnerable regions. Siemens w/o SHS continuously monitors and assesses the development of physical risks at own operations, using multiple internal and external data sources (Swiss Re, Zurich Resilience Solutions, Verizon Maplecroft, MSCI and Munich Re), physical site inspections, external assessments conducted by TÜV SÜD Global Risk Consultants and business impact analyses. The decision-making process for selecting new sites and developing sustainable, long-term protection measures is based on comprehensive risk analyses, with a particular focus on natural hazards and their changes due to climate change. For own operations of Siemens w/o SHS climate adaptation measures are integrated through new construction projects globally. Structured evaluations during the design phase identify applicable solutions to be implemented, see ↗ 2.2.5 for more details on adaptation measures. This approach is further strengthened by ongoing global training programs, site-specific assessments, and continuous improvement of protection standards.

Additionally, Siemens w/o SHS analyzes physical climate risks as part of our DNSH assessments under EU Taxonomy requirements, see ↗ 2.1. These assessments use Swiss Re's location-specific climate risk reports based on the "Shared Socioeconomic Pathway" SSP5-8.5 high-emission scenario aligned with the latest Intergovernmental Panel on Climate Change (IPCC) guidance. It projects temperature increases of up to 4°C by 2100 and includes hazards associated with climate change, such as heat waves, droughts, floods, heavy precipitations, or wildfires. This scenario represents an extreme pathway characterized by fossil-fueled development and limited climate policy intervention and is unconstrained by socioeconomic and technological growth assumptions. Our assessment process evaluates the vulnerabilities to acute and chronic climate-related hazards for Taxonomy-relevant sites. Critical risks are identified using Siemens' globally applicable rating rules, which are criteria for identifying risks that need to be further addressed. Adaptation measures are defined for implementation within five years. Climate-related hazards were analyzed for time horizons consistent with the expected lifetime of our economic activities. Beyond our own operations, we create and share location-specific climate risk reports with selected critical suppliers and client projects with Taxonomy-relevance.

For Siemens Healthineers, four emission scenarios covering sustainable and energy-intensive pathways (SSP1-2.6, SSP2-4.5, SSP3-7.0, and SSP5-8.5) and the "Representative Concentration Pathways" (RCP2.6, RCP4.5, RCP6, and RCP8.5) were considered in the physical climate risk assessment. These scenarios are based on the latest IPCC AR6 WG1 (2021) data. A limited number of sites are assessed as posing at least one climate dimension warning for acute and/or chronic risks. For high-emission scenario SSP5-8.5, further vulnerability assessments were conducted to consider site-specific mitigation measures. Beyond site-specific risks, a chronic physical risk related to resource security in the upstream supply chain was identified, highlighting potential disruptions and price increases for intermediates or raw materials due to climate change.

Transition risks and opportunities

Transition climate risks and opportunities are critical in the development of our customer industries shaped by evolving climate policy, scaling of decarbonization technologies, and emerging low-carbon markets.

In fiscal 2024, Siemens w/o SHS conducted a dedicated climate scenario analysis with the aim of identifying climate-related transition risks and opportunities within our customer markets. We evaluated the performance of our portfolio strategy under different climate scenarios, to strengthen our resilience to such challenges, and to identify potential climate-related business opportunities. The scenario analysis assessed transition risks and opportunities and tested the resilience of our business model under a net-zero and a high-emission scenario, across a time horizon of 30 years, from 2021 to 2050. The analysis considered the guidelines set by the TCFD and used the latest climate projection data available from the IPCC.

In particular, the following emission pathways were considered suitable to identify and assess relevant transition risks:

- Oxford Economics Net-Zero Scenario: This scenario reflects an ambitious decarbonization scenario limiting global warming to ~1.5°C by 2100. It corresponds with the Representative Concentration Pathway RCP2.5.
- S&P Forecast, including Green Rules Scenario: This scenario reflects a climate projection in between the Oxford Economics Net- Zero and the Oxford Economics High Temperature Scenario. Global warming in this scenario is expected to lead to ~1.75°C by 2100. It corresponds to the bottom range of the temperature pathway reflected in RCP4.5.

- Oxford Economics High Temperature Scenario: This scenario reflects a high temperature pathway projection leading to ~3.0°C by 2100. It mirrors the bottom range of the temperature pathway reflected in RCP8.5.

All scenarios were analyzed for potential business impact across short-term (until 2028), mid-term (until 2035), and long-term (until 2050) horizons, corresponding to strategic planning, capital allocation, and asset lifetimes. The analysis integrated different drivers and assumptions like macroeconomic developments, policy or regulatory requirements, the development, adoption and availability of technologies, including renewable energy, energy efficiency measures or electrification, as well as customer trends.

Key limitations of the scenario analysis include uncertainties in climate projections, particularly regarding the frequency and severity of extreme weather events, and the lack of detailed localized data. Assumptions about policy, technology, and socio-economic conditions may not fully reflect future developments. No inconsistencies were identified between the scenarios used and the climate-related assumptions reflected in Siemens´ financial statements.

The scenario analysis is closely aligned with the business strategy of Siemens w/o SHS, as it is based on the scenario base-case from Siemens' Common Market Model (CMM), see more details below, which incorporates the S&P Green Rules scenario. Due to the diversified nature of our business model, no gross transition climate risks were identified as material for Siemens w/o SHS in the scenario analysis. However, an opportunity was identified, as sustainable technology solutions are expected to drive market growth and generate revenue.

Separately, Siemens Healthineers conducted an assessment focused on transition risks and opportunities using a mitigation scenario aligned with a 1.5°C pathway. This scenario assumes strict climate policies and regulations, leading to a rapid phase-out of CO_2 emissions and a steep decline in other GHG emissions. It requires broad transformations across energy, industry, transport, buildings, agriculture, and forestry. Exposure to this scenario was screened against a set of transition events across upstream and downstream value chains, including focus countries for sales and procurement. Internal stakeholder consultations assessed the impact on policy and legal, technology, market, and reputation segments. Each transition event was considered under an individual time scope (short, medium, long) and a set of characteristics (likelihood, magnitude and duration). While this analysis revealed the transition risk that evolving regulatory requirements might increase operational costs or non-compliance with those new regulations might lead to reputational risks, no asset or activity was found incompatible with a transition to a low-carbon economy.

Climate resilience of our strategy and business model

Siemens addresses climate-related risks and opportunities across its value chain to ensure climate resilience. Risks and opportunities are addressed in established climate-related risk management processes. Climate-related risk assessments involve inherent uncertainties, particularly due to limitations in climate predictions. Key assumptions regarding the transition to a low-carbon, resilient economy, such as impacts on macroeconomic trends, energy consumption, and technology deployment, are detailed in the climate scenario analysis described above. The resilience analysis uses the same assumptions and time horizons as the scenario analyses.

Climate resilience in the downstream value chain

To assess the climate resilience of our strategy and business model, Siemens w/o SHS complemented its CMM with insights from climate scenarios mentioned above. The CMM is a comprehensive framework used by Siemens to provide an independent perspective on its markets, serving as a fundamental basis for entrepreneurial decisions, strategic planning, and budget allocation. It determines the assessment of markets for Siemens Profit & Loss (P&L) Units, ensuring that Siemens-wide economic and business-specific assumptions are consistently applied. It delivers market data, trends, and indicators, with semi-annual updates and optional interim reviews, incorporating relevant internal market insights. By maintaining a common perspective on economic development, methodology, and transparency across Siemens, the CMM is designed to support informed strategic and budget planning decisions.

The analysis of potential transition risks and opportunities focused on downstream activities of Siemens w/o SHS. The results reaffirmed our commitment to a net-zero world, in which our markets and therefore our business are expected to benefit in ways that outweigh potential negative transition effects. Under a net-zero scenario the majority of Siemens' end markets show positive growth projections. Energy and transport related end markets show the highest sensitivity to transition effects between the high- and low-temperature scenarios. Siemens' business is well positioned to address customer decarbonization requirements that arise from the transition to a low-carbon economy. These requirements are related to increasing demand for electrification and energy efficiency, accelerated digitalization and automation and the need for low-carbon transport solutions. The scenario analysis confirmed that Siemens' w/o SHS current portfolio is well positioned to benefit from the megatrends driving the transition to a low-carbon economy. No assets at risk were identified for Siemens w/o SHS.

Climate resilience in the upstream value chain

In our continuous effort to enhance upstream supply chain resilience, we provide relevant internal stakeholders with critical insights into market price trends and dynamics, effectively leveraging data from external market analysts to forecast over a short-to-medium-term horizon. As far as available in the data from our external market intelligence sources, climate transition or physical effects are also reflected, as they are becoming increasingly important in commodity forecasts. In addition, we employ a data-driven approach which includes climate-related physical risks such as extreme weather events, floods, and droughts. The comprehensive risk indicators for these risks are procured by the supply chain department from a third-party provider. These insights are embedded within our source-to-contract platform, ensuring that our global procurement organizations and relevant internal stakeholders have access to risk profiles. Siemens buyers, managing the procurement activities in their operational units, are enabled to conduct individual assessments, implement possible risk mitigation measures, and develop business-specific strategies together with their cross-functional partners. To date, climate-related risks have not caused disruptions that represent a material resilience concern for Siemens w/o SHS due to our widespread supplier base and sourcing flexibility. Our procurement approach has always been able to close gaps when they appear.

Climate resilience of own operations

Siemens w/o SHS has dedicated processes in place to identify gross physical and transitional risks and, where relevant, to address them. For risk management processes see details above and for additional mitigation measures related to physical climate risks, see ↗ 2.2.5. From a net perspective, there was no indication that climate-related risks are a material resilience concern for Siemens w/o SHS.

Further note on climate resilience at Siemens Healthineers

Siemens Healthineers conducted a climate-related resilience analysis covering both material physical and transition risks. Physical risks were assessed for each operational site in scope of the EU Taxonomy and selected additional sites. The up- and downstream value chain was considered as part of Siemens Healthineers' double materiality assessment. In the assessment of climate-related transition risks, own operations as well as Siemens Healthineers' up- and downstream value chain were covered. The results of the assessments of climate-related IROs are used to implement potential mitigation actions and adapt our strategy. Through this, Siemens Healthineers aims to ensure the resilience of its strategy and business model in relation to climate change. The assessments are part of the corporate ERM process and are performed annually. Actions and allocated resources focus on mitigating the identified transition risk. Physical risks are currently managed at the site level without a dedicated overarching key action.

Climate resilience at Siemens

Siemens systematically evaluates and manages climate-related physical risks as well as transition risks and opportunities. Scenario analyses confirmed that its business model, including assets and activities, is compatible with a net-zero future, and across all scenarios tested. For detailed information on Siemens' climate transition plan, including associated policies, actions, targets and investments, aimed at strengthening our climate and business resilience see below.

2.2.2 Climate change transition plan

Siemens is committed to leading the way in the transition to a low-carbon economy. Our climate change transition plan outlines our comprehensive approach to mitigating climate change and adapting to its impacts. The plan details how Siemens aims to contribute to limiting global warming to 1.5°C in line with the Paris Agreement. It describes our climate change mitigation approach to manage climate-related IROs and establishes targets and actions aimed at reducing Siemens' carbon footprint across the entire value chain. In addition to reducing our footprint, we also leverage our business portfolio to enable positive sustainability impacts for our customers in relation to decarbonization and energy efficiency. The transition plan is based on scenario analyses and assessments of physical and transition risks to identify climate-related sensitivities and test our business model's resilience, as detailed in ↗ 2.2.1. The climate change mitigation targets at the center of our transition planning are approved by the Managing Board, reflecting our commitment to integrating climate action into our core business strategy and planning. To ensure accountability and drive performance towards our climate ambitions, GHG emission reduction is integrated into the variable remuneration components of the Managing Board, see ↗ 1.3.2.

Siemens' GHG reduction targets and positive impact for its customers

Our GHG emission reduction targets are validated by the SBTi based on their Net-Zero Standard as being in line with a 1.5°C scenario. We have committed to reduce absolute GHG emissions from our own operations by 90% and from our value chain by 30% by fiscal 2030 compared to fiscal 2019. Furthermore, we commit to net-zero emissions by fiscal 2050, reducing absolute emissions across our value chain by 90% compared to fiscal 2019, with any residual emissions neutralized. Recognizing the importance of our supply chain, Siemens w/o SHS has defined a specific Scope 3 target to pursue Scope 3 upstream emissions reduction by 20% by fiscal 2030 compared to fiscal 2019, encompassing the GHG-Protocol categories purchased goods and services, capital goods, fuel- and energy-related activities not included in Scope 1 or Scope 2, upstream transportation and distribution, waste generated in operations and business traveling (GHG-Protocol categories 3.1 to 3.6). Beyond its own footprint, Siemens w/o SHS aims to enable positive impact for its customers, targeting over 1,000 million metric tons of cumulative avoided emissions between fiscal 2023 and fiscal 2030.

Key decarbonization levers and investments

To achieve these targets, Siemens has identified key decarbonization levers, consisting of Scope 1 & 2 emission reductions related to the electrification of the fleet, emission reductions in buildings and operations, and Scope 3 reductions related to sourcing and product-related reduction of emissions in the upstream and downstream value chain. Our decarbonization measures are supported by targeted investments, including about €320 million in CapEx and €410 million in OpEx allocated for Scope 1 and 2 emission reduction initiatives between fiscal 2025 and fiscal 2030.

Measures related to Scope 3 up- and downstream emissions are closely linked to our R&D activities and integrated in related financial resources that are allocated towards innovative and sustainable solutions around core technologies and innovation fields. For decarbonizing the upstream value chain, Siemens pursues to reduce emissions by innovating and dematerializing product design, changing to lower carbon materials and engaging with suppliers.

Siemens additionally reports on EU Taxonomy-aligned revenue, CapEx and OpEx, contributing to the objective of climate change mitigation as well as on the plans for aligning economic activities in the future including a target for Siemens w/o SHS to increase the EU Taxonomy revenue alignment rate by fiscal 2030, see ↗ 2.1.

While we do not anticipate significant locked-in emissions or key assets that might jeopardize our emission targets or pose any transition risk, we recognize the dependency of our Scope 3 downstream target achievement on the speed of global electricity markets transitioning to lower carbon levels and the ability of our customers therein to procure green electricity. This is a key determinant of the carbon-intensity of the use phase emissions of our electricity powered product portfolio.

Decarbonization levers

Siemens levers[1], separated by	Fiscal year 2019 (base year) GHG emission (in $ktCO_2e$)	Fiscal year 2025 Achieved GHG Emission Reduction (in %) compared to base year	Fiscal year 2030 (target year) SBTi target	Fiscal year 2050 (target year) SBTi target	Fiscal year 2050 (target year) Expected maximum GHG neutralization using carbon credits (in % of base year emissions)
Scope 1 & 2 (market-based)	**938**	**(62)%**	**(90)%**	**(90)%**	**10%**
Buildings & operations	664	(71)%			
Fleet	274	(39)%			
Scope 3	**178,835**	**(11)%**	**(30)%**		
Upstream	11,081	0%			
Downstream	167,754	(12)%			

[1] The reported levers are valid for the whole Siemens Group and the sum might slightly diverge compared to other figures in this chapter due to consolidation and management effects.

Building emissions, as part of our decarbonization levers, include Scope 1 emissions from stationary combustion for heating purposes and Scope 2 emissions related to buildings from electricity or from district heating and cooling. Emissions from operations consist of Scope 1 process emissions, stationary combustion, fugitive emissions, and mobile emissions from vehicles used on-site for production processes and Scope 2 emissions related to energy used during production processes. The emissions for the fleet include Scope 1 emissions related to mobile combustion and Scope 2 emissions from electric vehicles. Further details on our decarbonization levers and key actions can be found in chapter ↗ 2.2.5.

Supporting our customers to reduce emissions

In addition to reducing our footprint, we also leverage our offerings to enable emission reduction at our customers. Siemens w/o SHS has set a target to help customers avoid >1,000 million metric tons of CO2e cumulatively between fiscal 2023 and fiscal 2030 through its products, systems, solutions and services. Between the beginning of fiscal 2023 and the end of fiscal 2025, Siemens w/o SHS has enabled its customers to cumulatively avoid 694 million metric tons of CO_2e. For further details on the target definition and calculation methodology, see ↗ 2.2.4.

Partnerships and engagements

To accelerate this global energy transition, we actively engage with numerous strategic sustainability partners worldwide on decarbonization and energy efficiency initiatives. Our collaborative partnerships include working closely with the OECD, the WEF, the UN Global Compact (UNGC), and the WBCSD. We also participate actively in the political debate around the energy transition, including in the context of the UN Climate Change Conferences. In addition to these partnerships, we maintain active engagement with our customers and suppliers on energy and climate-related topics to drive decarbonization throughout our upstream and downstream value chain.

Siemens is not excluded from the EU-Paris-aligned Benchmarks, which aim at increasing transparency and comparability of sustainable investments. The following chapters provide more information on our climate-related policies at Siemens, see ↗ 2.2.3, climate-related targets, described in ↗ 2.2.4, corresponding actions, resource allocation and progress, outlined in ↗ 2.2.5 and ↗ 2.2.6. Siemens is committed to continuous improvement and aims to regularly review and update the transition plan to keep it aligned with the business strategy and financial planning, latest scientific findings and best practices.

2.2.3 Policies

Siemens places great importance on climate protection and the responsible use of resources. We recognize that integrating renewable energy and stable energy sources as well as improving energy efficiency are essential to reducing both resource usage and operational costs. These priorities are specifically addressed in our corporate policies by addressing climate protection and renewable energy.

The Sustainability at Siemens Policy specifies the scope of the Scope 1 and 2 reduction program and regulates the usage of carbon credits at Siemens w/o SHS. It is complemented by the Policy on the Scope 1 and 2 reduction program, outlining the decarbonization approach for our key decarbonization levers, and the EV100 Policy. EHS-specific policies, including the EHS Principles and Directive and Policies on Environmental Conduct (Siemens w/o SHS), define our commitment to environmental protection, outline organizational responsibilities and requirements for the EHS management system. The Environmental Protection Standard for Siemens w/o SHS further specifies the approach on Environmentally Compatible Products, Systems, Solutions and Services (PSSS) including Siemens' Robust Eco Design (RED). RED systematically addresses Ecodesign requirements, including low carbon footprint materials and energy efficiency, see ↗ 2.6. In addition, the Siemens w/o SHS PLM Process Standard defines sustainability aspects that must be considered when developing products, solutions and services. The DNSH Recommended Practice describes the approach on identifying and assessing climate-related risks as part of the DNSH assessments under EU Taxonomy requirements for Siemens w/o SHS, see ↗ 2.1. The Resource Preservation Policy statement includes Siemens Healthineers' commitment to resource preservation, including the approach to achieve Net-Zero emissions.

The Code of Conduct for Suppliers and Third-Party Intermediaries (Code of Conduct for Suppliers) further supports the reduction of Scope 3 upstream emissions by setting energy and climate-related requirements for our tier-1 suppliers. For more information on the Code of Conduct for Suppliers see ↗ 3.3.2. All relevant disclosure requirements on the policies can be found in the general policy overview, see ↗ 5.1.

2.2.4 Targets

To mitigate climate change and support the transition to a lower carbon economy, Siemens has defined ambitious measurable targets aligned with its policies´ objectives to reduce negative climate impacts. To achieve these targets, we integrate innovative technologies where applicable throughout the value chain, leveraging Siemens' core technologies and innovations to enhance energy efficiency and electrification particularly in our own operations and in our product portfolio. Additionally, we closely monitor developments such as shifts in customer preferences or regulatory changes that may influence our emissions reduction ambition. All targets are informed by the latest IPCC decarbonization pathways and developed in consultation with relevant internal or external stakeholders. More information on our GHG emissions along the value chain can be found in ↗ 2.2.6. For further information regarding target setting and monitoring of the Siemens sustainability target frameworks, see ↗ 1.1. and for the EU Taxonomy target, see ↗ 2.1.1.

Targets on GHG emissions reduction

<table>
<tr><th>Target[1]</th><th>Scope</th><th>GHG emission in base year 2019 (in $ktCO_2e$)[2]</th><th>Target year</th><th>Target value (reduction to base year in %)</th><th colspan="2">Contribution per Scope in the target reduction ambition (in %)</th><th>Share of total emission reduction (in %)</th><th>Fiscal year 2025 (reduction to base year in %)</th></tr>
<tr><td rowspan="3">SBTi:
Achieve Net-Zero in Scope 1, 2 & 3</td><td rowspan="6">Siemens</td><td rowspan="3">180,160</td><td rowspan="3">2050</td><td rowspan="3">(90)%</td><td>Scope 1</td><td>0.3%</td><td rowspan="3">100%</td><td rowspan="3">(12)%</td></tr>
<tr><td>Scope 2</td><td>0.2%</td></tr>
<tr><td>Scope 3</td><td>99.5%</td></tr>
<tr><td rowspan="2">SBTi:
Reduce Scope 1 & 2 emissions by 90%</td><td rowspan="2">938</td><td rowspan="2">2030</td><td rowspan="2">(90)%</td><td>Scope 1</td><td>59%</td><td rowspan="2">2%</td><td rowspan="2">(62)%</td></tr>
<tr><td>Scope 2</td><td>41%</td></tr>
<tr><td>SBTi:
Reduce Scope 3 emissions by 30%</td><td>179,222</td><td>2030</td><td>(30)%</td><td>-</td><td>-</td><td>98%</td><td>(11)%</td></tr>
<tr><td rowspan="2">Reduce Scope 1 & 2 emissions by 90% and compensate residual emissions</td><td rowspan="4">Siemens w/o SHS</td><td rowspan="2">691</td><td rowspan="2">2030</td><td rowspan="2">(90)%</td><td>Scope 1</td><td>58%</td><td rowspan="2">1%</td><td rowspan="2">(66)%</td></tr>
<tr><td>Scope 2</td><td>42%</td></tr>
<tr><td>Reduce Scope 3 emissions by 30% by fiscal 2030 and achieve net-zero by 2050</td><td>174,558</td><td>2030</td><td>(30)%</td><td>-</td><td>-</td><td>99%</td><td>(11)%</td></tr>
<tr><td>Pursue Scope 3 upstream emissions reduction by 20%</td><td>8,107</td><td>2030</td><td>(20)%</td><td>-</td><td>-</td><td>3%</td><td>1%</td></tr>
<tr><td rowspan="3">Reduce Scope 1, 2 & 3 emissions by 90% and neutralize residual emissions</td><td rowspan="6">Siemens Healthineers</td><td rowspan="3">4,524</td><td rowspan="3">2050</td><td rowspan="3">(90)%</td><td>Scope 1</td><td>3%</td><td rowspan="3">100%</td><td rowspan="3">(7)%</td></tr>
<tr><td>Scope 2</td><td>2%</td></tr>
<tr><td>Scope 3</td><td>95%</td></tr>
<tr><td rowspan="2">Reduce Scope 1 & 2 emissions by 90%</td><td rowspan="2">247</td><td rowspan="2">2030</td><td rowspan="2">(90)%</td><td>Scope 1</td><td>63%</td><td rowspan="2">16%</td><td rowspan="2">(49)%</td></tr>
<tr><td>Scope 2</td><td>37%</td></tr>
<tr><td>Reduce material Scope 3 emissions by 28%</td><td>4,277</td><td>2030</td><td>(28)%</td><td>-</td><td>-</td><td>84%</td><td>(4)%</td></tr>
</table>

[1] Scope 2 emissions are calculated using the market-based approach.
[2] Target measured against comparative baseline

Methodology: The target setting involved the use of climate scenarios consistent with SBTi target pathway and included internal assumptions such as business forecasts and greenhouse gas budgets and allocation approaches. Together, our decarbonization targets cover the complete value chain including all own sites worldwide and all GHGs under the GHG-Protocol. Biogenic CO_2 emissions are excluded. The base year emissions inventory covers 100% of the specified scope and all Scope 3 categories as reported in ↗ 2.2.6. The Siemens Healthineers Scope 3 target covers the categories 3.1, 3.4, 3.6 and 3.11.

Annual monitoring ensures the continuous alignment of GHG targets with inventory boundaries. Calculations follow the same methodology and assumptions applied to all Scope 1, 2, and 3 metrics, see ↗ 2.2.6. For Scope 2 emissions, the market-based methodology is applied. Fiscal 2019 serves as the baseline year, as it reflects representatively Siemens' performance, and normal operations prior to the COVID 19 pandemic and ensures comparability. For Siemens w/o SHS, the baseline has been adjusted in fiscal 2025 to align with material structural changes in line with the GHG-Protocol guidance. For further information on the actions and their contribution towards achieving the decarbonization targets, see ↗ 2.2.5. The target period for the net-zero GHG targets is in line with the ten-to fifteen-year timeframe provided by a 1.5°C-compatible cross-sectoral decarbonization pathway.

2050 target

SBTi: Achieve Net-Zero in Scope 1, 2 & 3

2030 targets

SBTi: Reduce Scope 1 & 2 emissions by 90%

SBTi: Reduce Scope 3 emissions by 30%

Scope: Siemens

Siemens has set a science-based Net-Zero target validated by the SBTi under its Net-Zero standard. We are committed to achieving net-zero by fiscal 2050 in line with a 1.5°C scenario. This target reflects our commitment to aligning business activities with the 1.5°C decarbonization pathway. This commitment entails reducing absolute GHG emissions from our own operations by 90% and from our value chain by 30% by fiscal 2030 compared to fiscal 2019. Furthermore, we commit to Net-Zero emissions by fiscal 2050, reducing absolute emissions across our value chain by 90% by fiscal 2050 compared to fiscal 2019. Following this long-term 90% reduction in Scope 1, 2 & 3 emissions, any residual emissions will be neutralized through the purchase of carbon credits. In line with the SBTi standard, residual emissions will account for less than 10% of the base value. Further details on the neutralization of unabated emissions are provided in ↗ 2.2.6. Siemens near term fiscal 2030 targets, as validated by the SBTi Net-Zero standard, are in line with a 1.5°C scenario for Scope 1 & 2 and aligned with a well-below-2°C for Scope 3. All Scope 3 emissions and relevant categories are covered by the target. A 1.5°C-aligned Scope 3 target would have required a 46.2% reduction.

Since fiscal 2019, we have reduced Scope 1 & 2 emissions by 62% and achieved an 11% reduction for our Scope 3 emissions, showing progress toward our targets.

2030 and 2050 targets

Reduce Scope 1 & 2 emissions by 90% and compensate residual emissions by fiscal 2030

Reduce Scope 3 emissions by 30% by fiscal 2030 and achieve net-zero by fiscal 2050

Pursue Scope 3 upstream emissions reduction by 20% by 2030

Scope: Siemens w/o SHS

Reduce Scope 1 & 2 emissions by 90% by fiscal 2030

Reduce material Scope 3 emissions by 28% by fiscal 2030

Reduce Scope 1, 2 & 3 emissions by 90% by 2050 and neutralize residual emissions

Scope: Siemens Healthineers

To ensure that the emission reduction pathway meets our ambitions, Siemens w/o SHS and Siemens Healthineers have respectively defined supplementary targets. Decarbonization efforts are continuously implemented, managed and monitored within both target frameworks. For information on our decarbonization levers, see ↗ 2.2.2 and ↗ 2.2.5. Target setting, calculation methodology and assumptions are in line with our SBTi targets. In fiscal 2025, Siemens w/o SHS achieved an overall reduction of 66% for Scope 1 & 2 emissions compared to the base year 2019 (691 ktCO_2e), while Siemens Healthineers demonstrated progress with a 49% reduction in emissions from their base year values (247 ktCO_2e). For Scope 3, Siemens w/o SHS achieved a 11% reduction compared to the base year 2019 and Siemens Healthineers 4%.

Siemens w/o SHS has further defined a target to pursue Scope 3 upstream emissions reduction by 20% by fiscal 2030 compared to fiscal 2019. This target covers the GHG-Protocol categories from purchased goods and services to business traveling (GHG-Protocol categories 3.1. to 3.6). The setting of the ambition involves assumptions about supplier data accuracy, emission factors, activity data, boundary definitions, lifecycle analysis, consistency, comparability, and engagement with suppliers. In fiscal 2025, Scope 3 upstream emissions slightly increased by 1% compared to the baseline 2019 value of 8,107 ktCO_2e. If the increase in purchasing volume of around 21% compared to 2019 is included, CO_2e emissions were however reduced in relation to purchasing volume. Siemens w/o SHS is committed to reducing its Scope 3 upstream emissions by 2030, acknowledging that the target achievement is dependent on factors, such as business growth, our suppliers' decarbonization, and the overall market development. By closely working with our suppliers, innovating product design to dematerialize, and by changing to lower carbon materials, Siemens continues to drive reductions of Scope 3 upstream emissions, see ↗ 2.2.5.

2030 target

Achieve >1,000 Mt cumulatively in Customer Avoided Emissions

Scope: Siemens w/o SHS

The impact that Siemens' products, systems, solutions and services have on enabling emission reduction at our customers represents a positive contribution towards mitigating climate change. Siemens w/o SHS has established an entity-specific target for Customer Avoided Emissions (CAE) to transparently report this impact. CAE represent the positive impact of our offerings in terms of the emissions avoided during their use phase at our customers. We have set a target to achieve >1,000 million metric tons CO_2e cumulatively in CAE between fiscal 2023 and fiscal 2030. In fiscal 2025, we helped our customers avoid 199 million metric tons of CO_2e emissions, achieving a total of 694 million metric tons of CO_2e cumulatively since 2023, showing progress toward our 2030 target. The Siemens technologies that contribute most significantly to these avoided emissions include solutions for rail bound passenger and freight transportation, frequency converters, building systems as well as electrification and automation offerings.

An additional lever to support the increase in customer emissions avoided is the consistent focus on improving energy efficiency during the product design phase.

(MtCO$_2$e, cumulative)	Scope	Baseline year	Baseline value	Target year	Target value	Fiscal year 2025
Achieve >1,000 Mt cumulatively in Customer Avoided Emissions	Siemens w/o SHS	2023	264	2030	> 1,000	694

Methodology: The calculation of avoided emissions is based on the comparison between the impact of Siemens' offerings – our products, systems, solutions and services sold, or investments made and a counterfactual scenario based on alternative offerings. The counterfactual scenario must represent the situation that would have occurred without the Siemens offering.

As there is no universally accepted standard for calculating avoided emissions, Siemens has defined an approach based on principles derived from the GHG Scope 3 downstream reporting according to the GHG-Protocol, as well as criteria defined in the WBCSD guidance on avoided emissions. The CAE methodology considers all six greenhouse gases defined in the Kyoto Protocol and is dependent on the availability of reliable data. Offerings are assessed against defined exclusion criteria. These include stakeholder objections, evidence of significant adverse environmental impacts across the life cycle, and direct involvement in fossil fuel-related activities. Offerings that meet these criteria are excluded from accounting.

Siemens calculates avoided emissions for all relevant offerings sold or investments made in each fiscal year, covering their entire customer use phase. We aim to capture the decarbonization effect our portfolio has within the following three impact categories: energy efficiency, renewable energy increase, and electrification. These decarbonization effects can be achieved either on a product level or on a system level (for end-use solutions or intermediary solutions). CAE can be accounted for if the product, system, solution, service, or investment has a direct and significant decarbonization impact. Calculations may be performed using a bottom-up approach based on product-specific information, or a top-down approach based on the global impact of a specific offering with Siemens claiming a specific proportion. CAE may arise from efforts by multiple partners and from the effects of their products along the value chain.

Emission factors to determine CAE are derived from the S&P Green Rules scenario as of 2024 and the expected use-phase energy consumption of the Siemens product. If regional calculations are available, local emissions factors are used. Data on CAE includes the use phase by the customer or the term of an investment. Emissions from other lifecycle phases, such as supply chain, production, or disposal, are excluded.

CAE are calculated annually based on the current portfolio and accumulated until fiscal 2030. Whilst carve-outs are considered until the effective date of exit without backward-looking adjustments to the cumulative target figure, acquisitions are considered from the effective date of consolidation without backward-looking adjustments to the cumulative target figure. More information on our CAE methodology can be found in our published whitepaper "Customer Avoided Emissions - Calculation Methodology".

2030 target

Improve our overall energy efficiency by 10%

Scope: Siemens w/o SHS

Siemens w/o SHS has voluntarily established a specific, quantifiable energy efficiency target to support its climate and environmental objectives. The target was developed based on a comprehensive stakeholder-backed analysis involving the EHS department and business experts and was formally approved by the Global Board EHS and Siemens Managing Board. Progress monitoring is conducted through the annual reporting process and business units oversee implementation and monitoring. The scope of the target applies globally to environmentally relevant sites, see definition in ↗ 2.4.2.

The target is linked to our material energy IROs and forms a key component of our environmental strategy. It supports the objectives of the EHS Principles and the Environmental Protection Standard, including its Appendices. The target achievement is ensured through the EHS management systems, described in ↗ 2.3.2. The target demonstrates our commitment to enhancing energy efficiency and achieving energy consumption reduction at environmentally relevant production and office sites, contributing to the Efficient Own Operations target of the Eco Efficiency @ Siemens program. In fiscal 2025, we increased our energy efficiency to 54% compared to fiscal 2021 and already achieved our target value of 10%). This development was supported by an energy reduction of 16% compared to 2021.

(in %)	Scope	Baseline year	Baseline value[1]	Target year	Target value	Fiscal year 2025
Improve our overall energy efficiency by 10%	Siemens w/o SHS	2021	0%	2030	10%	54%

[1] Target measured against comparative baseline

Methodology: The target methodology uses regularly collected data through the reporting system across sites that meet the criteria specified in the Environmental Protection Standard. This data derives from meter readings installed in buildings. The approach employs a standardized metering hierarchy, with rigorous gates to ensure data integrity. Data collection and key assumptions are described in *↗ 2.2.6**. Progress is quantified by measuring the reduction of total energy consumption relative to our portfolio and currency-adjusted revenue. The absolute energy reduction serves as the basis for calculating the energy efficiency target before portfolio adjustments. The target addresses sustainable development through site-specific energy reduction measures, which are documented locally. While not all sites are ISO 50001-certified, Siemens w/o SHS promotes the implementation of energy management systems at all environmentally relevant sites. It is supported by conclusive scientific evidence aligned with sustainability frameworks such as the International Standards Organization (ISO) and International Electrotechnical Commission (IEC) Standards.*

Other commitments

To support the achievement of its Scope 1 & 2 emission reduction targets, Siemens has made commitments under the initiatives EP100 (Net-Zero Emissions Buildings), RE100 (Transition to Renewable Electricity) and EV100 (Fleet electrification) of the Climate Group. Each of these initiatives aims to drive climate action and accelerate climate transition. While our RE100 and EV100 2030 targets are individually monitored as part of our sustainability target framework, building-related emissions are tracked and managed as part of Siemens' SBTi commitments including the Scope 1 and 2 Reduction Program and improving energy efficiency at relevant sites. Siemens joined the EP100 initiative in fiscal 2021 committing to operate only net-zero carbon buildings by fiscal 2030 and considers the EP100 target achieved when building emissions are reduced by 90%, with any residual emissions compensated through carbon credits, as outlined in ↗ 2.2.6. For further details on actions and progress on reducing building emissions please refer to ↗ 2.2.5.

2030 target

Transition to 100% electricity from renewable sources

Scope: Siemens

Siemens has committed to 100% renewable electricity consumption by fiscal 2030 through the RE100 initiative. In fiscal 2025, our purchased electricity originated from renewable sources continued to increase and now stands at 86%, showing progress towards our 2030 target. This figure is based on a definition compliant with most recent RE100 requirements, including the 15-year plant age limit.

Methodology: Regulatory restrictions in selected markets currently prevent complete renewable electricity conversion. Renewable energy procurement follows RE100 Technical Criteria, encompassing wind, solar, geothermal, sustainable biomass, and sustainable hydropower sources. Performance measurement reflects renewable electricity percentage of total electricity consumption in MWh. For assumptions and methodologies related to electricity consumption, see ↗ 2.2.6.

2030 target

Achieve a 100% electrified fleet in accordance with market maturity

Scope: Siemens

Siemens aims to fully electrify its vehicle fleet by 2030 in accordance with market maturity, under the EV100 principles. In fiscal 2025, we achieved a fleet electrification rate of 33%, up from less than 2% in fiscal 2021, showing progress towards our 2030 target.

Methodology: To track progress, we use the definition by the Climate Group for electric vehicles (EVs) to calculate our fleet electrification rate by dividing our battery-electric vehicles (BEVs) by the total number of vehicles in the fleet (owned and leased by Siemens). The electrification rate covers the complete Siemens' vehicle fleet. To measure our target achievement in 2030, we are guided by the EV100 principles and include all vehicles for which electrification is possible based on market maturity and technical feasibility. Siemens defines market maturity according to the EV100 country maturity classification, which is based on availability of suitable BEVs, governmental policies, strategies and incentives, BEV total cost of ownerships and charging infrastructure and supplements this with internal factors (such as costs and type of vehicles required) that consider specifics of the Siemens fleet.

Climate change adaptation

Regarding climate change adaptation, Siemens has not yet set specific targets. However, the company continues to regularly assess and address climate-related risks and opportunities through robust climate scenario analyses and established risk management processes, as described in ↗ 2.2.1. Further information on the management of climate change adaptation can be found in ↗ 2.2.5.

2.2.5 Actions

To meet the climate-related targets as described in the Sustainability at Siemens policy, address GHG emissions and manage identified climate-related IROs, we focus on several global decarbonization levers that support us in reducing our emissions in line with our 2030 targets. For details on the quantitative contribution of our key decarbonization levers and associated targets, see ↗ 2.2.2. The implementation of the described actions is enabled through resources currently planned and allocated for this purpose. No preconditions are made to limit their implementation.

Optimizing energy, emissions, and costs across operations by fiscal 2030 through holistic building and production decarbonization

Siemens is committed to reducing building and operational emissions, driven by energy efficiency, electrification, and the use of renewable energy. We commit to carbon-neutral operations for all new buildings globally. For existing buildings, we implement transformation concepts and energy management measures to match these standards. This includes increasing electrification and enhancing energy efficiency through smart building technologies and installing solar panels and renewable heating solutions across Siemens-owned locations. In addition, Siemens focuses on leasing carbon-neutral buildings where technically and economically feasible.

To support the monitoring and management of the energy consumption, Siemens has implemented a variety of measures including adopting electric heating systems, energy efficiency measures and expanding renewable electricity. Siemens w/o SHS has further deployed an automatized data collection and analysis system across global operations that provides detailed consumption insights into energy consumption patterns and associated carbon footprint at site locations via a digital application. This transparency in our energy consumption helps identify irregularities and high-energy consumers, allowing for targeted efficiency measures over time. The different efforts align with the retrofit of existing fossil fuel supplied buildings through electrification of heat supply.

To reduce emissions connected to production processes, Siemens focuses on improving efficiency and reducing energy-related emissions at production sites worldwide. Examples include the electrification of paint shops or improvements of SF_6 filling processes. For Siemens w/o SHS, the Eco Efficiency @ Siemens program is central to the energy management strategy, promoting continuous improvement and operational efficiency across facilities worldwide. In Germany, the implementation of ISO 50001 is mandatory, and regular energy audits support compliance as well as ongoing improvement.

As part of our efforts to increase the share of renewable electricity for buildings and production processes, we also enter power purchasing agreements (PPA) to support our supply with renewable electricity. While local regulations in some markets currently limit full conversion to renewable electricity, Siemens, as a RE100 member, remains committed to reducing its environmental impact through effective use of renewable energy and cutting emissions from power generation and minimizing energy consumption. This is part of Siemens w/o SHS' commitment to preserve natural resources across all its locations, as outlined in the policies and supporting to reach its energy efficiency targets. This key action is ongoing and it has been implemented with a long-term perspective.

Investments to reduce our Scope 1 & 2 emissions included about €72 million CapEx and €1 million OpEx in this fiscal year. The monetary amounts of CapEx are reflected in the Consolidated Statements of Cash Flows, while the monetary amounts of OpEx are included in the expense figures shown in the Consolidated Statements of Income. Additional expenditures of more than €200 million CapEx and €100 million OpEx are planned until fiscal 2030. CapEx and OpEx associated with building-related actions are also linked to the CapEx plan for building projects described in the EU Taxonomy, see ↗ 2.1. Other investments and expenses related to our levers for the reporting year can, for example, be linked to the EU Taxonomy economic activities Installation, maintenance and repair of renewable energy technologies (CCM 7.6) or Acquisition or ownership of buildings (CCM 7.7).

Electrifying our fleet by 2030 in accordance with market maturity under EV100 Commitment

To reduce emissions from our global motor vehicle fleet of over 44,000 vehicles, Siemens is actively pursuing full fleet electrification, as outlined in ↗ 2.2.4. In support of this goal, we have increased the charging infrastructure and reached more than 6,700 charging stations installed across our locations in fiscal 2025.

In fiscal 2025, additional expenditures related to facilitating the use of electric vehicles amounted to about €3 million CapEx and €40 million OpEx . Until fiscal 2030, about €40 million CapEx and €270 million OpEx are planned. These investments are part of the overall investments for Scope 1 & 2 emission reductions mentioned above.

Pursuing Scope 3 upstream emissions reduction via supplier engagement, innovating and dematerializing product design and changing to lower carbon materials

To manage Scope 3 upstream emissions, Siemens recognizes the CO_2e emissions generated by suppliers, particularly from energy used in the production and delivery of materials and components. For Scope 3 upstream emissions, we have implemented a global supplier engagement program called Carbon Reduction @ Suppliers where we collaborate with an external partner to model the carbon footprint of our suppliers. This program supports suppliers in setting targets and developing action plans to reduce their carbon footprints. The approach consists of the Carbon Web Assessment (CWA) and a CO_2e monitoring of our upstream supply chain emissions allowing to actively influence the company carbon footprint of our suppliers. The CWA is an integrated process consisting of an assessment to enable our suppliers to learn about their own GHG emissions and to provide detailed possibilities to reduce CO_2e. Through CWA, Siemens gains transparency about decarbonization efforts at our suppliers, increases the accuracy of modelled CO_2e estimations, gains insights about the performance of our suppliers and can benchmark results. The CWA requires suppliers to specify both current and planned decarbonization measures for one- and three-year horizons. To validate progress, Siemens requests suppliers to repeat the self-assessment regularly. Supporting materials such as the Carbon Reduction Management Guide and video tutorials are provided to facilitate implementation.

In addition to the supplier engagement activities, Siemens is pursuing efforts to further enhance current approaches. Such efforts may include the integration of CO_2e reduction considerations into product and portfolio decisions and design optimization. It is also intended to further intensify engagement with our supply chain partners; for example, by collaboratively elaborating material substitution options or transitioning to lower carbon materials. With all activities Siemens pursues the objective to leverage feasible upstream decarbonization levers along the value chain.

Reducing Scope 3 downstream emissions via product energy efficiency, renewable energy integration and decarbonization solutions

Decarbonizing our downstream value chain

One of the main sources of Siemens' Scope 3 downstream emissions is the electricity consumption during the use phase of our products. To further reduce these emissions for Siemens w/o SHS, we focus on increasing energy efficiency in our products, promoting automation and digitalization. These efforts directly support our customers to decarbonize their processes.

Siemens Healthineers contributes to downstream decarbonization through targeted technical solutions, for example in its radiotherapy division. The SF_6 Recovery Program is a key initiative that captures SF_6 gas, used as an insulation medium in linear accelerators, thereby reducing the GHG footprint of these systems while maintaining clinical performance and operational efficiency.

SFS supports customers and partners around the globe to invest in renewable energy sources and is committed to supporting its customers around the world on their decarbonization journey, including by financing energy infrastructure projects focusing on renewable energy integration. SFS advances the reduction of carbon emissions of its own portfolio, for example by strategically focusing on financing energy projects with reduced carbon emissions in comparison to the average of previously financed comparable energy projects.

Enabling our customers to decarbonize their operations

Siemens actively supports its customers in decarbonizing their infrastructure and operations through carbon footprint management, renewables integration, electrification, and energy efficiency. This impact is further demonstrated by the emissions we help customers avoid through our portfolio offering, see ↗ 2.2.4 on CAE.

Our products and solutions support the transition from fossil fuels to renewable energy sources, while our electrification solutions support the integration of renewables into grid infrastructure and the electrification of heat and hydrogen. Across industries, we offer energy optimization and carbon footprint management throughout our products' life cycles and supply chains. In the building sector, we offer energy efficiency and decarbonization solutions, such as smart buildings and smart energy management systems designed to reduce carbon footprints. In addition, our rail systems offer low-carbon mobility and increased energy efficiency for transportation.

Driving climate adaptation through integrated technological solutions, resilient infrastructure and adaptation measures

Siemens w/o SHS drives climate adaptation through comprehensive technological solutions designed to help customers build more resilience to environmental challenges. Our integrated approach spans buildings, electrification, and grids, focusing on three essential dimensions that directly support climate adaptation strategies.

Our decarbonization and energy efficiency solutions are designed to form the foundation of climate-resilient infrastructure. By implementing advanced solutions for renewable energy integration, we help organizations remain resilient and promote self-sufficiency from grid electricity. With its digital business platform Siemens Xcelerator and its suite of offerings: Building X, Electrification X and Gridscale X, Siemens w/o SHS enables real-time adaptation to changing environmental conditions. With solutions such as Building X and Electrification X we help our customers to extend asset lifetimes, with Gridscale X we enable customers to increase grid utilization, strengthening resource resilience in a changing climate. Our smart building automation systems, featuring advanced climate control and intelligent metering, help facilities adapt dynamically to extreme weather events and varying environmental conditions. These technologies allow organizations to maintain operational efficiency while adapting to increasingly challenging climate scenarios. Our people-centric approach aims to ensure that climate adaptation benefits extend to all stakeholders. Siemens Building X and Desigo, as advanced platforms for smart building management and integrated building automation, work together to enable data driven decisions and create adaptive indoor environments that maintain comfort and safety regardless of external conditions. Fire and electrical safety solutions further enhance protection against elevated risk scenarios driven by climate change.

SFS contributes to climate adaptation by offering financing solutions for Siemens technologies that support the development of sustainable and resilient infrastructure. These include corporate financing options that enable customers to upgrade production facilities to withstand extreme weather events, and leasing solutions that facilitate the installation of protective technologies such as wildfire mitigation systems. These financing activities are part of Siemens downstream value chain and enable positive climate adaptation impacts associated with the Siemens portfolio.

For our operations, we use physical risk scenario analyses to identify, evaluate and manage acute and chronic physical risks. Physical risks are also considered in the risk management processes in our upstream value chain, see ↗ 2.2.1. Climate adaptation measures are integrated into our operations through new construction projects globally. Structured evaluations during the design phase identify applicable solutions to be implemented. For example, the Smart Infrastructure factory under construction in Wuxi, China, has been elevated by approximately one meter to reduce pluvial flooding risks. Meanwhile, the Mobility factory in Lexington, USA, also under construction, includes dedicated water management and sustainable urban drainage systems to prevent damage from heavy rainfall.

2.2.6 Metrics

Greenhouse gas emissions along the entire value chain

Siemens tracks gross Scopes 1, 2, 3 and total GHG emissions in accordance with the GHG-Protocol. We are continuously aiming to improve the accuracy and transparency of our emissions reporting and calculation. This includes increasing the use of activity-based data, minimizing reliance on estimations, and refining extrapolation methodologies to enhance data quality and consistency.

GHG emissions

(in $ktCO_2e$)	Retrospective Fiscal year 2019 (base year)	2025	Milestones and target years Fiscal year 2030	2050	Annual % target/ base year
Total GHG emissions					
Total GHG emissions (location-based)	-	160,065	-	-	-
Total GHG emissions (market-based)	180,160	159,503	-	(90)%	(2.9)%
Scope 1 GHG emissions					
Gross Scope 1 GHG emissions	-	288	-	-	-
Percentage of Scope 1 GHG emissions from regulated emission trading schemes (%)	-	*2%*	-	-	-
Scope 2 GHG emissions					
Gross location-based Scope 2 GHG emissions	-	633	-	-	-
Gross market-based Scope 2 GHG emissions	-	71	-	-	-
Total Scope 1 and 2 GHG emissions (market-based)	938	359	(90)%	-	(8.2)%
Scope 3 GHG emissions					
3.1 Purchased goods and services	-	9,425	-	-	-
3.2 Capital goods	-	397	-	-	-
3.3 Fuel and energy-related Activities (not incl. in Scope 1 or 2)	-	121	-	-	-
3.4 Upstream transportation and distribution	-	1,101	-	-	-
3.5 Waste generated in operations	-	21	-	-	-
3.6 Business traveling	-	214	-	-	-
3.7 Employee commuting	-	177	-	-	-
3.8 Upstream leased assets[1]	-	n/a	-	-	-
3.9 Downstream transportation	-	24	-	-	-
3.10 Processing of sold products[2]	-	n/a	-	-	-
3.11 Use of sold products	-	134,133	-	-	-
3.12 End-of-life treatment of sold products	-	3,659	-	-	-
3.13 Downstream leased assets	-	2,963	-	-	-
3.14 Franchises[3]	-	n/a	-	-	-
3.15 Investments	-	6,911	-	-	-
Total Gross indirect (Scope 3) GHG emissions	179,222	159,144	(30)%	-	(2.7)%

[1] Already accounted for within Scope 1 & 2 emissions in accordance with the GHG-Protocol
[2] Not material for Scope 3 emissions
[3] Not applicable

The market-based GHG intensity ratio for this fiscal is 2,021 tCO_2e/million €, and the location-based GHG intensity ratio is 2,028 tCO_2e/million €. The total GHG intensity ratio is calculated by dividing the total GHG emissions by the total revenue as disclosed in Note 29 of the Consolidated Financial Statements for fiscal 2025.

Siemens reports gross biogenic Scope 1 CO_2 emissions from the combustion or biodegradation of biomass within the consolidated group, amounting to 14.8 $ktCO_2e$. The gross biogenic Scope 3 CO_2 emissions from the combustion or biodegradation of biomass of the consolidated group amount to 44,713 $ktCO_2e$. The gross biogenic Scope 2 CO_2 emissions (location-based and market-based) from the combustion or biodegradation of biomass are not considered significant based on materiality analysis conducted with emission factors from ecoinvent.

Siemens had no unconsolidated but operationally controlled investees or joint arrangements during the reporting period. Consequently, Scope 1 emissions as well as Scope 2 emissions, both market-based and location-based from such entities amount to 0 $ktCO_2e$. Scope 1 emissions and Scope 2 biogenic emissions from the combustion or biodegradation of biomass from unconsolidated companies also amount to 0 $ktCO_2e$.

Total gross Scope 1 GHG emissions

	Fiscal year 2025 $ktCO_2e$	therein from CO_2	CH_4	N_2O	SF_6	NF_3	HFC	PFC
Total gross Scope 1 GHG emissions	288.3							
Stationary combustion	**103.0**	102.6	0.2	0.1	0	0	0	0
Mobile combustion	**159.1**	157.8	0.3	1.0	0	0	0	0
Fugitive emissions	**16.4**	0	0	0	4.4	0	12.0	0
Process emissions	**9.8**	0.2	0.0	0.3	9.3	0	0	0

Total gross Scope 2 GHG emissions

	Fiscal year 2025	
(in $ktCO_2e$)	Location-based	Market-based
Total gross Scope 2 GHG emissions	**633.0**	**70.7**
Electricity	594.4	47.0
District Heating	37.6	22.8
District Cooling	1.1	0.9

Share of contractual agreements used for the purchase of energy

Type of instruments (in %)	Fiscal year 2025
Total share of purchased energy bundled or unbundled with instruments in total energy consumption	**83%**
Bundled with instruments	**36%**
Guarantee of Origin	*32%*
Renewable Energy Certificate	*1%*
International Renewable Energy Certificate	*0%*
others	*3%*
Unbundled instruments	**47%**
Guarantee of Origin	*6%*
Renewable Energy Certificate	*21%*
International Renewable Energy Certificate	*21%*
others	*0%*

Methodology for calculating GHG emissions: Scope 1 and 2

Scope	Calculation method
Scope 1	• The methodology for calculating Siemens' Scope 1 GHG emissions is aligned with the GHG-Protocol. These emissions originate from Siemens' locations and fleet operations and are categorized in stationary combustion (for example from natural gas or heating oil), mobile combustion (for example diesel and petrol), process emissions (for example from production processes) and fugitive emissions (for example from refrigerants). • For metered locations, emission factors respective to the media types are multiplied by the consumption at the locations. • For non-metered locations, emissions are estimated using proxy data from metered locations. Benchmarks are developed based on location type (office or industrial), regional conditions, rentable space, and utilization. Where country-specific data is unavailable, global benchmarks are applied. The consumption for non-metered locations is calculated by multiplying the benchmark by the total rentable space. Consumption data is then multiplied by the respective emission factors. • Fleet emissions are calculated using fuel consumption data (liters of petrol, diesel, liquid gas, bioethanol) multiplied by the relevant emission factors, in accordance with the GHG-Protocol. • Siemens uses the latest emission factors published by the IPCC or Department for Energy Security and Net-Zero/Department for Environment, Food and Rural Affairs (DESNZ/DEFRA) as available at the beginning of the reporting period. The emission factors are updated annually based on the frequency of source updates. For biogas and bioethanol, the emission factors used from DESNZ/DEFRA do not provide the breakdown of the constituent gases. • Emissions from biogenic commodities such as biogas, bioethanol and wood pellets are recorded separately from direct emissions (Scope 1), in accordance with the GHG-Protocol. DESNZ/DEFRA emission factors are used to calculate the biogenic emissions. • The percentage of Scope 1 GHG emissions regulated under emission trading schemes (ETS) is determined by dividing the emissions reported to the relevant governmental authority in the latest reporting period of the respective ETS by the total gross Scope 1 emissions for the current reporting period.
Scope 2	• Gross location-based Scope 2 GHG emissions for Siemens are calculated using the most recent CO_2e emission factors from authoritative sources available at the beginning of the reporting year. These include the International Energy Agency (IEA), Statistics Canada (StatCan), and EGrid for GHG emissions related to electricity. For district heating and cooling, emission factors from DESNZ/DEFRA are applied. • Gross market-based Scope 2 GHG emissions are calculated in accordance with the data source hierarchy defined in the GHG-Protocol. Where applicable, residual mix data from the Association of Issuing Bodies (AIB) is used to ensure accurate representation of energy sourcing. • In cases where real energy consumption data for a location is not metered, extrapolations, as described in the Scope 1 methodology, are applied to estimate energy consumption. Those estimations are then used to calculate emissions, as described in the Scope 1 methodology. • For BEVs and plug-in hybrid electric vehicles (PHEVs), average energy consumption is estimated using country-specific benchmarks derived from the driving patterns of fossil fuel vehicles. This approach ensures consistency in calculating electricity-related emissions from Siemens' vehicle fleet. • The percentage of contractual agreements used for energy procurement, whether bundled with generation attributes or based on unbundled energy attribute claim, is determined by calculating the share of electricity for which Siemens has acquired Guarantees of Origin (GOs), Renewable Energy Certificates (RECs), International Renewable Energy Certificates (I-RECs), or other recognized energy attribute instruments.

Methodology for calculating GHG emissions: Scope 3

Scope	Calculation method
Scope 3 - Upstream	
3.1 Purchased Goods and Services **3.2 Capital Goods** **3.3 Fuel- and Energy-Related Activities** **3.4 Upstream Transportation and Distribution** **3.5 Waste Generated in Operations**	• The Scope 3 upstream emission categories 3.1 to 3.5, a spend-based approach with product or service category and country of origin specific emission factors, is applied using purchasing volume for categories 3.1, 3.3, 3.4, 3.5 and capital expenditures for category 3.2. • Furthermore, the web-based tool supplier+s is used to ask Siemens suppliers about their implemented CO_2e reduction measures and their overall CO_2e management as part of the CWA Process. For further information on the Scope 3 upstream actions see ↗ 2.2.5. Based on the responses, the resulting emission reduction per supplier (when suppliers are ahead of industry average) and the remaining carbon footprint are calculated. At Siemens Healthineers, emissions for categories 3.1 and 3.4 are also calculated using a spend-based approach, based on purchase volumes and include emissions from purchased goods and services. Emissions are derived from a model developed by an external partner, which classifies suppliers by product or service category and country, assigning an average emission factor based on this combination. Supplier reduction measures, assessed through surveys, are also factored into the calculations.
3.6 Business Travel	• GHG emissions related to 3.6 Business Travel are calculated from various business travel modes including flights, rental cars, trains, hotels, taxis, private cars for business travel and business jets. Siemens uses a combination of primary data sources such as booking systems, credit card statements, travel agencies, and expense platforms where available. In cases where direct data is not available, extrapolations and estimations are applied. Depending on the availability of data, the emissions for the different travel mode types are calculated using spend-based approaches, supplier data or usage and km-related emission factors from sources such as DESNZ/DEFRA factors.
3.7 Employee Commuting	• For category 3.7 Employee Commuting, Siemens uses activity data approximated for Germany and extrapolated globally. This includes approximations for emissions related to energy consumption while working from home, whereby electricity emissions are calculated based on emission factors by the IEA. The German grid mix is applied for German employees working from home and a world grid mix is applied for employees working in the rest of the world. This calculation method assumes that German Siemens employees reflect Siemens employee commuting behavior (average distance, modal split of public transport and days spent working from home) globally.
Scope 3 – Downstream	
3.9 Downstream Transportation and Distribution	• Due to the complexity of Siemens' supply chain, it is not possible to collect data to quantify the downstream transportation and distribution GHG emissions beyond tier-1 customers. Following the GHG-Protocol, the emissions for category 3.9 Downstream Transportation and Distribution are calculated only up to Siemens' tier-1 customers and do not include any other downstream transportation beyond tier-2. Because Siemens cannot yet collect activity or spend data for this category, emissions are estimated as a proportion of category 3.4. Since category 3.4 includes inbound freight, this approach likely overestimates category 3.9 emissions, representing a conservative estimate. The extrapolation is based on sales order Incoterms data from Digital Industries and Smart Infrastructure and is assumed to be representative of other business units.
3.11 Use of Sold Products	• For category 3.11 Use of Sold Products, GHG emissions are calculated based on assumptions about product use (for example operating hours per year), product specifications (for example power demand of a product) and the product's use phase duration. Calculations are completed at a portfolio element (group of products with similar attributes) level, based on the numbers of sold products for all relevant category 3.11 offerings, defined as those physically handed over to customers. Use of Sold Product emissions does not include emissions from the use of sold software (where this is not already addressed in Scope 1, 2 or 3.1), due to the absence of standardized market practices for software-related emissions. Electricity emissions calculation is based on the latest version of IEA emission factors, while emissions from other fuels are based on the latest version of the DESNZ/DEFRA source.
3.12 End-of-life Treatment of Sold Products	• Category 3.12 End-of-life Treatment of Sold Products includes all products within the boundaries of category 3.11. Siemens uses two primary approaches to estimate emissions: The Material Composition Method and the EPDs Method. The Material Composition Method calculates emissions based on the material composition of a representative product from the portfolio element (considering a selection of key materials) and design features of the product that may influence end of life treatment. Expert assumptions may also be used to estimate end-of-life treatment of the product. Emission factors for this method are sourced from the ecoinvent dataset. Alternatively, calculations may be based on EPDs for representative products, using emission factors from the GaBi dataset. In both cases, it is assumed that the material composition and end-of-life treatment of the representative product reflect those of other products within the portfolio element.
3.13 Downstream Leased Assets	• Emissions for category 3.13 Downstream Leased Assets are calculated using the average-data method. Siemens estimates the annual emissions for each group of leased assets based on asset type, quantity, average statistics and secondary data. Asset types that do not consume direct energy during their use phase (such as furniture) are excluded from the calculations. Where available, primary data sources such as technical specifications from manufacturers are used. Data relating to the energy consumption of assets during their use phase is obtained from various sources, such as Lectura and technical data sheets of similar assets, while emission factors are drawn from the latest IEA and DESNZ publications available at the start of the reporting period. Where technical data is not available, emissions are calculated using an extrapolation factor derived from the average of total emissions from previously calculated asset types (excluding any high energy consuming asset types that may skew the factor). We assume that the average energy consumption per asset type is close to the real energy consumption. For leased buildings, the emissions are calculated using the same methodology as for Scope 1 and 2 location-based emissions.
3.15 Investments	• Emissions for category 3.15 from SFS Project Investments are calculated in accordance with the GHG-Protocol and the Partnership for Carbon Accounting Financials (PCAF) Global GHG Standard, addressing annual emissions of existing financings in the reporting year. Siemens focuses on relevant projects in "GHG-intensive sectors" specifically coal and gas-fired power plants. Where possible, the project specific method is applied, using the Scope 1 & 2 emissions collected from the investee company directly and allocating them based on Siemens' proportional share of total project costs (equity plus debt). If project-specific data is unavailable, Siemens applies the average data method as outlined in the GHG-Protocol Technical Guidance for Calculating Scope 3 Emissions. • For equity investments, the emissions are calculated in accordance with the GHG-Protocol using either a) publicly disclosed Scope 1 and 2 emissions from the investee, or b) estimated based on investee turnover and relevant sector emission factors (tCO_2e/$ million turnover) from the South Pole database, or estimated averages based on investee emissions from a) and b). Emissions are reported based on the proportional share of investment.

Primary data was used to calculate 0% of the calculated Scope 3 GHG emissions across all categories. The emissions factors used to calculate or measure GHG emissions were chosen as these represent market practice.

Energy consumption and mix

Energy consumption and mix

(in MWh)	Fiscal year 2025
Total energy consumption	2,984,738
Total fossil energy consumption	**1,408,940**
Share of fossil sources in total energy consumption (%)	*47%*
Fuel consumption from coal and coal products	0
Fuel consumption from crude oil and petroleum products	414,056
Fuel consumption from natural gas	489,761
Fuel consumption from other fossil sources	216,880
Consumption of purchased or acquired electricity, heat, steam, and cooling from fossil sources	288,243
Total nuclear energy consumption	**12,487**
Share of consumption from nuclear sources in total energy consumption (%)	*0%*
Total renewable energy consumption	**1,563,310**
Share of renewable sources in total energy consumption (%)	*52%*
Fuel consumption for renewable sources, including biomass (also comprising industrial and municipal waste of biologic origin, biogas, renewable hydrogen, etc.)	54,295
Consumption of purchased or acquired electricity, heat, steam, and cooling from renewable sources	1,479,673
Consumption of self-generated non-fuel renewable sources	29,343

Renewable energy generation

Siemens reports own-production energy only for locations with dedicated meters. For non-metered locations, we assume 100% grid supply.

Own energy production

(in MWh)	Fiscal year 2025
Own renewable energy production	35,669
Own non-renewable energy production	6,715

In fiscal 2025, the energy intensity associated with high climate impact sectors was 37.8 MWh/€m. Based on Siemens business model, this figure reflects the total energy consumption from all Siemens business activities classified under the NACE code sectors for "Manufacturing", "Electricity, Gas, Steam and Air Conditioning Supply", and "Real Estate Activities", representing the high climate impact sectors. This metric measures the total energy consumption relative to total revenue, as disclosed in Note 29 of the Consolidated Financial Statements.

Energy data collection and benchmark-based consumption estimation

Siemens w/o SHS generally collects energy data at site level by sourcing data from calibrated meters wherever available. If monthly meter readings are not available or monthly invoices are missing, energy consumption is estimated through extrapolation. For details on non-metered locations, please also refer to the description of the methodology for calculating Scope 1 GHG emissions above. For Siemens Healthineers, internal average values for primary and secondary energy consumption per square meter are applied to estimate energy consumption for sites without energy consumption data. Total energy consumption includes both non-renewable and renewable sources. Non-renewable sources from direct energy carriers cover heating oil, liquid gas, and gasoline, and indirectly acquired energy such as electricity, heat, steam or cooling from purchased fuels. Renewable energy portfolio includes direct energy carriers from biogas, wood pallets, and photovoltaic energy. Indirect renewable energy sources comprise purchased green electricity.

For energy consumption from nuclear sources, we account for the share of nuclear power in each country's electricity mix using the European residual mix from the international recognized data source AIB. The calculation multiplies the country-specific nuclear energy share with the non-renewable energy consumption not covered by guarantees of origin. The results are aggregated and expressed as the proportion of nuclear energy relative to total energy consumption.

The reported energy consumption is supported by standardized and validated methods. Key assumptions are consistent energy patterns across our facilities, accurate supplier metering, and representative benchmark data from measured sites. Variations may occur due to timing differences between consumption and invoice documentation, regional facility characteristics, and updates to national energy mix data. In case metered locations experience delays in data from known own-production systems, the previous year's values are used as a proxy. This estimation methodology considers the facility type, rentable space, and, if country-specific benchmarks are available, regional conditions and utilization. When country-specific data is unavailable, global benchmarks are applied. The energy carriers are determined by using these benchmarks and weighted based on the use of energy carriers at other locations with direct measurements.

Approach to using carbon credits

Siemens prioritizes the physical reduction of emissions as the core strategy for achieving its Net-Zero target. Beginning in fiscal 2050, Siemens plans to neutralize all remaining Scope 1, 2, & 3 emissions - representing a maximum of 10% of base year emissions – using carbon credits that meet the eligibility criteria of the SBTi, as outlined in ↗ 2.2.4.

In addition, Siemens w/o SHS is committed to compensating residual Scope 1 & 2 emissions from fiscal 2030 onwards, following the achievement of its 90% reduction target. The high-quality carbon credits used for this purpose will comply with quality standards that are verified by independent third parties. These standards mandate that project reports are publicly accessible and establish criteria for additionality, permanence, and the avoidance of double counting. They also provide rules for the calculation, monitoring, and verification of the project's GHG impacts and removals. Quality standards are primarily issued by carbon crediting programs.

Siemens recognizes standards issued by leading carbon crediting programs, including the Verified Carbon Standard (Verra), the Gold Standard for the Global Goals (Gold Standard), and the Plan Vivo Standard (Plan Vivo). Additional applicable standards from organizations such as the ISO are also recognized. In addition to those quality standards, certain exclusion criteria will be applied (for example crediting period start before 2016), methodology-specific checks conducted (for example used species in reforestation projects) and all parties and individuals involved in the project screened.

Outside the context of Siemens' GHG reduction ambitions the carbon credits portfolio used for selected cases is based on the Oxford Offsetting Principles. It consists of different carbon credit types, with an increasing share of permanent removal carbon credits year on year. These carbon credits also comply with independently verified quality standards and undergo an internal due-diligence process comparable to that planned for carbon credits used in the context of GHG reduction ambitions.

In total, Siemens cancelled 2.0 ktCO_2e of carbon credits outside of its value chain in fiscal 2025.

Carbon credits cancelled in the reporting year

	Fiscal year 2025	
	Carbon credits cancelled (in ktCO_2e)	Share of total volume (in %)
Total	**2.0**	
Type of projects		
From removal projects	1.2	57%
Biogenic sinks	*1.2*	*57%*
Technological sinks	*0*	*0%*
Hybrid sinks	*0*	*0%*
From reduction project	0.9	43%
Verified per recognized quality standard		
Verified Carbon Standard	0.5	26%
Gold Standard for Global Goals	0	0%
Plan Vivo Standard	0.6	28%
American Carbon Registry Standard	0.4	17%
Climate Action Reserve	0.6	29%
Puro Standard	0	0%

In addition to the carbon credits cancelled during the reporting year, Siemens has also planned to cancel further carbon credits in the future. Up to and including fiscal 2030, Siemens w/o SHS plans to cancel 70.5 ktCO_2e of carbon credits. Contractual agreements for the carbon credits used in the context of our GHG reduction ambitions are currently being developed. To date, we do not use carbon credits to make compensation-related claims in the context of our GHG reduction ambitions.

Carbon credits planned to be cancelled

	Fiscal year 2025	
Planning period: fiscal 2026 - 2030	Carbon credits planned to be cancelled (in ktCO_2e)	Share of total volume based on existing contractual agreements (in %)
Total	**70.5**	**-**
Not based on existing contractual agreements	**69.0**	**-**
Based on existing contractual agreements	**1.5**	**-**
Type of projects		
From removal projects	1.0	66%
Biogenic sinks	*0.6*	*38%*
Technological sinks	*0*	*0%*
Hybrid sinks	*0.4*	*28%*
From reduction project	0.5	34%
Verified per recognized quality standard		
Verified Carbon Standard	0.1	5%
Gold Standard for Global Goals	0	0%
Plan Vivo Standard	0.2	11%
American Carbon Registry Standard	0.5	29%
Climate Action Reserve	0.4	26%
Puro Standard	0.4	28%

GHG removals in own operations and value chain

Siemens reports GHG removals and storage activities that are conducted within its own operations and value chain, and which are carried out either directly by Siemens or by commissioned third parties. Siemens defines removal projects as projects that extract GHG emissions from the atmosphere and store them, while reduction projects aim to decrease the amount of GHG emissions released into the atmosphere. Where removal activities are conducted, they must be quantified, monitored, and verified by a third-party auditor.

The gross GHG emissions removed and stored are reported without deducting the emissions associated with the removal activity (for example, GHG emissions from electricity). The most recent Global Warming Potential (GWP) values published by the IPCC, based on a 100-year time horizon, are used to calculate CO_2e emissions of non-CO_2 gases. The CO_2e values assigned to the removal activities correspond to the actual values. For the calculation of total GHG released due to reversal events or leakages, reversals refer to any movement of stored GHGs out of the intended storage, causing them to re-enter the atmosphere. The total GHG removals and storage in own operations are 0 tCO_2e and the total GHG removals and storage in the value chain are also 0 tCO_2e.

Approach to carbon pricing

Siemens does not apply a unified global internal carbon price. Carbon pricing is considered selectively across Siemens w/o SHS, depending on the business area and local context. Internal carbon pricing mechanisms are currently in place in the United Kingdom, Brazil, and Switzerland, where local internal CO_2e prices are used to contribute towards achieving the Scope 1, 2 & 3 SBTi and sustainability targets outlined in ↗ 2.2.4 in the respective local entities.

In the UK, different Siemens businesses are charged for emissions related to fleet, non-renewable site gas and non-renewable electricity. The proceeds finance, for example, electric vehicle charging infrastructure at UK offices and support employee-submitted low-carbon projects. In Brazil, a shadow price is used to guide CapEx decisions related to new equipment, machinery or processes. In Switzerland, a fee is applied on unavoidable business air travel and is added to ticket prices to steer behavior.

Additionally, Siemens w/o SHS is in the process of implementing carbon shadow pricing in procurement decisions for goods and services. The procurement organization is encouraged to apply shadow prices from €80 to €515 depending on the comparability of the product carbon footprints and the availability of commodity-specific abatement cost. Pilot programs are currently being implemented focusing on global commodities with a high degree of emission transparency and a high carbon impact, for example plastic resins, aluminum castings and steel.

Siemens maintains a registry of all active internal carbon pricing schemes. For the calculation of total GHG emissions regulated by the schemes per Scope (tCO_2e and %) Siemens calculates the Scope 1, 2, and 3 emissions related to regions, activities, and sites, using the respective calculation methods wherever feasible. In the UK, emissions are calculated based on the Streamlined Energy and Carbon Reporting (SECR) regulation.

Application of carbon pricing schemes

Internal carbon scheme	Type	Fiscal year 2025 Covered volume market-based (in tCO_2e)	Fiscal year 2025 Covered volume location-based (in tCO_2e)	Fiscal year 2025 Applied price (€/tCO_2e)	Description of perimeter
Total		**3,026**	**2,791**	**n.a.**	
Siemens Brazil	Shadow pricing	0	0	208	Investments decisions in Brazil
Siemens Switzerland	Internal carbon fee	983	983	75	Air travel of all Swiss employees
Siemens UK	Internal carbon fee	2,043	1,808	100	Operations of different UK businesses

GHG emissions covered by carbon pricing schemes

	Fiscal year 2025 GHG emissions covered by carbon pricing schemes (in tCO_2e)	Fiscal year 2025 GHG emissions covered by carbon pricing schemes (in %)
Total (market-based)	**3,026**	**0.0%**
Total (location-based)	**2,791**	**0.0%**
Scope 1	1,396	0.5%
Scope 2 (market-based)	235	0.3%
Scope 2 (location-based)	0	0.0%
Scope 3	1,395	0.0%